

Accounting Authority Map and Project Protocol

A property-specific operating index for federal tax, US GAAP, Kansas law, Johnson County administration, and Overland Park requirements

Prepared for	GH Real Estate, LLC
Property	Fourplex - 9401 Nieman Road, Overland Park, Kansas 66214
Current through	July 12, 2026
Intended use	Upload first. It tells ChatGPT how to interpret the three detailed sourcebooks and the GH project files.
Authority model	Binding law, authoritative administrative sources, official guidance, GAAP topic locators, and project controls are labeled separately.

Important limitation

This is a curated, dated authority map and operating sourcebook, not a substitute for the live law, a signed lease, a tax return position, legal advice, or a CPA engagement. No static PDF can make an AI answer legally binding. The cited live authority controls.

Prepared as a searchable source for a ChatGPT Project. Official URLs are printed in full in each source register.

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1. What this package is - and is not

This four-volume package is the most defensible form of a 'complete compilation' for the facts currently known: a dated applicability map, operative rules, transaction controls, and a comprehensive official-source register. It does not copy every page of the Internal Revenue Code, Kansas Statutes, municipal code, IRS publications, or the copyrighted FASB Codification. A raw legal corpus would be harder for a project to retrieve correctly, would mix active and irrelevant rules, and would become stale without warning.

Binding-output warning

ChatGPT cannot make an accounting answer legally binding. Only the governing law, valid contracts, filed elections/returns, and decisions of the responsible licensed professionals or authorities can do that. The project should produce decision support and draft bookkeeping entries, not legal opinions or return-signing assurance.

The three detailed volumes divide the source set by authority: federal tax and GAAP; Kansas law and tax; and Overland Park / Johnson County administration. Every material rule is tagged with an official source ID and full URL. If a live source has changed after the checked-through date, the live source controls.

2. Authority hierarchy for every answer

Priority	Source type	How the project must use it
1	Enacted statutes and municipal code	Treat current federal and Kansas statutes and the Overland Park Municipal Code as controlling law within their scope. Always check effective date and tax year.
2	Final Treasury and Kansas regulations	Use controlling regulations to interpret and implement statutes. Live eCFR and Kansas administrative sources control over an older PDF summary.
3	Binding court decisions	A static compilation cannot safely freeze all case law. Escalate material disputes or ambiguous lease provisions to Kansas counsel or the tax preparer.
4	Published IRS / KDOR administrative guidance	Revenue rulings, procedures, notices, and other published guidance carry more weight than publications and FAQs. Check the Internal Revenue Bulletin and current KDOR policy.
5	Forms, instructions, publications, FAQs	Use for operations and filing mechanics, but do not call them statutes. If they conflict with controlling law, controlling law wins.
6	FASB Accounting Standards Codification	This is the authoritative source of nongovernmental US GAAP, but it is private financial-reporting guidance, not federal income-tax law. Do not reproduce it wholesale.
7	Signed lease, loan documents, operating agreement	These can create enforceable obligations and reporting requirements. Use the executed current document, not a target policy or old template.
8	GH internal accounting policy	Use only if consistent with all higher authorities. A Zoho account name or automation never decides legal or tax treatment.

3. Current facts and assumptions

Applicability depends on facts. The project must state which assumptions it used and stop when a missing fact could change the answer.

Assumption	Current working position	Verification trigger
Entity	Kansas domestic single-member GH Real Estate, LLC	Verify articles, operating agreement, current Kansas status, and whether a second member ever acquired an interest.
Federal classification	Disregarded entity, no Form 8832 or S corporation election assumed	Verify the latest federal return, EIN notices, Forms 8832/2553, and tax-preparer workpapers.
Activity	One long-term residential fourplex; ordinary landlord services	Short stays, hotel-like services, a property-management business, dealer activity, or a second property changes the source set.
Tax accounting	Cash method assumed for the individual owner	Verify the most recent Schedule E and accounting-method elections.
Occupancy history	At least one unit may have converted from personal to rental use	Confirm unit-by-unit dates, fair market value at conversion, and prior personal-use allocations.
Employees	No employees assumed	Hiring, payroll, or treating a worker as an employee activates federal and Kansas payroll rules.
Financial statements	No lender or contract currently identified as requiring GAAP statements	Read loan covenants, investor agreements, court orders, grants, and insurance requirements.
Fees	A target fee policy exists but may differ from signed leases	Never automate or book a charge until the applicable executed lease and Kansas enforceability are confirmed.

4. Mandatory ChatGPT answer protocol

1. Start with the transaction date or tax year, entity, unit/property, payment method, and whether the question asks for GAAP books, tax books, a tax return position, or legal compliance.
2. Give four separate conclusions when relevant: clean financial-statement treatment; federal income-tax treatment; Kansas treatment; Overland Park / Johnson County treatment.
3. Cite the sourcebook ID and identify the legal weight. Never call an IRS publication, FAQ, FASB update, or internal policy a statute.
4. When GAAP and tax differ, post or propose a book-tax adjustment. Do not distort the accounting ledger to force it to equal the tax return.
5. For any fee, deposit, refund, or chargeback, use the executed lease for that tenant. Do not infer authorization from Zoho item names or the target fee policy.
6. For repairs, renovations, appliances, permits, and closing costs, ask for the invoice, scope, unit of property, placed-in-service date, and related work before classifying.
7. For vendor reporting, ask for W-9, entity type, amount paid during the calendar year, payment method, and whether a card or third-party network settled the payment.
8. Never invent a threshold, form edition, rate, deadline, election, account code, or lease term. Mark unresolved points 'verify' and identify the exact document or professional needed.
9. Treat tenant SSNs, bank data, and payment credentials as prohibited project-source data. Store only redacted evidence and the minimum facts needed for the entry.
10. End material recommendations with a verification block: sources used, assumptions, missing evidence, proposed entry, tax adjustment, and escalation trigger.

5. Transaction treatment matrix

This matrix is a retrieval aid, not a substitute for the detailed rules in Volumes 01-03. 'Clean book treatment' means an accrual/GAAP-like ledger unless a tax-basis ledger is explicitly selected.

Transaction	Clean book treatment	Federal tax position	Kansas/local control
Current-period rent	Rental income; reduce receivable if accrual books	Rental income, generally Schedule E	Ordinary long-term apartment rent is not Kansas sales-taxable
Advance rent / last-month rent	GAAP: liability then recognize over lease period; tax-basis books may recognize on receipt with a book-tax adjustment	Taxable when received regardless of period covered	Lease terms control; not a security deposit if intended as rent
Refundable security or pet deposit	Debit cash; credit tenant security-deposit liability; maintain tenant subledger	Not income while returnable	K.S.A. 58-2543 and 58-2550 caps, permitted uses, itemization, and return deadlines
Deposit retained for rent or breach	Debit deposit liability; credit rent/damage recovery only when legal right is fixed; record repair or asset separately	Retained amount generally rental income; separate deduction or capitalization	Only legally allowable, itemized charges; wrongful withholding damages apply
Holding deposit	Liability while refundable; income or rent only when terms make GH entitled	Substance controls; forfeited or nonrefundable amount becomes income when right is fixed	May meet Kansas security-deposit definition despite label; attorney review required
Late / returned-payment / cancellation fee	Rental or other lease income, separately tracked	Generally rental income	Book and enforce only if supported by the signed lease and not unconscionable
Utility reimbursement	Gross reimbursement income and gross utility expense unless a defensible net presentation applies	Include tenant-paid owner obligations in rent income; deduct allowable expense separately	Unusual resale or separately metered arrangements require tax review
Zoho / payment processor settlement	Record gross tenant charge; processing fee is a separate expense; reconcile net bank deposit	1099-K does not determine taxable income	Retain processor statements and tenant-level reconciliation
Uncollected rent	GAAP accrual: receivable and credit-loss analysis; cash/tax books: no income recorded	Cash-method landlord generally has no bad-debt deduction for rent never included	Preserve collection and lease records
Mortgage payment	Split interest expense, principal reduction, escrow funding, and other fees	Principal is not deductible; rental interest generally may be; tracing rules apply to cash-out proceeds	Loan and escrow statements support property-tax payments
Escrow payment	Funding increases escrow asset; recognize tax/insurance when servicer actually pays	Deposit to escrow is not itself the deduction	Reconcile county receipt and insurer invoice

Transaction	Clean book treatment	Federal tax position	Kansas/local control
Repair / maintenance	Expense if it preserves ordinary operating condition and is not part of an improvement	Apply tangible-property regulations and elected safe harbors	Residential real-property repair labor may be sales-tax exempt; materials remain taxable
Improvement / renovation	Capitalize by asset/component and depreciate; preserve placed-in-service date	Betterment, restoration, or adaptation must be capitalized; tax lives and bonus rules differ from GAAP	Permit fees and directly attributable costs may be capitalizable; assess use tax
Appliance / furniture	Capitalize unless valid book policy permits expensing; asset subledger	Often shorter-life property; de minimis/bonus/Section 179 analysis is fact-specific	May be taxable personal property; many items may be exempt but classification must be confirmed
Rental license / permit	License normally operating expense; construction permit usually follows related asset	Deduct or capitalize consistently with underlying purpose	Overland Park rental license is mandatory and billed biennially
Owner contribution	Equity contribution, never income	Generally not rental income	Maintain LLC contribution records
Owner draw	Equity distribution, never expense	Not a Schedule E deduction	Kansas LLC solvency limits and operating agreement apply
Business mileage	Reimburse/record supported business miles under policy	2026 optional rate: 72.5 cents through June 30; 76 cents beginning July 1	Keep contemporaneous log; personal commuting is excluded
Vendor payment	Expense or asset based on substance; store invoice, W-9, payment method	2026 general information-return threshold is \$2,000, subject to exceptions	Kansas copy filing may apply; direct payments and card payments follow different reporting rules
Uncashed tenant refund	Keep as liability; do not reverse to income merely because check is stale	No automatic income conclusion	Kansas unclaimed-property dormancy, due diligence, reporting, and remittance may apply

6. Immediate project controls and cleanup priorities

1. Confirm that the Overland Park rental license for the fourplex is active, tied to the correct owner/address, and calendared for biennial renewal.
2. Verify federal tax classification and accounting method from the latest return and entity-election records before making Schedule E or disregarded-entity assumptions final.
3. Build a permanent fixed-asset and depreciation schedule: land, building, unit-level conversion dates, 2026 renovations, appliances, land improvements, accumulated depreciation, and disposition history.
4. Reclassify security deposits to tenant-level liabilities and create a move-out checklist that meets Kansas itemization and timing rules.
5. Obtain attorney review of the holding-deposit form and reconcile every signed lease to the fee policy before automating charges.
6. Adopt a prospective written capitalization / de minimis accounting policy before the first day of the tax year in which it will be used; retain annual election statements with the return.
7. Require W-9 collection before non-card vendor payment, preserve payment method, and run a calendar-year 1099 review using the 2026 threshold and exceptions.
8. Confirm whether Johnson County ever received an initial personal-property rendition for reportable assets; after that, file by March 15 when a required change occurs.
9. Separate federal, Kansas, and book-basis adjustments in year-end workpapers, including advance rent, depreciation, passive losses, and owner-occupied conversion allocations.
10. Run the annual and event-driven refresh checklist in Section 10 before using the package for a new tax year or changed operation.

7. Current Zoho and policy risks observed

These are review flags based on the supplied chart of accounts and project policy. They are not automatic posting instructions; preserve the current file and implement changes only through a controlled chart-of-accounts review.

Observed Zoho / policy item	Required correction or control	Why it matters
Security Deposit Returns shown as an expense	Refunds should normally debit the security-deposit liability, not create expense	Prevents overstated expense and unresolved tenant liabilities
Withheld for Damages shown as an expense	Reduce the liability and recognize the legally retained amount; record the actual repair or capital asset separately	Avoids netting and preserves Kansas itemization plus federal tax treatment
Owner's Contribution under Other Income	Move to member equity / contributions	Owner funding is not rental revenue
Renovations used as a broad expense bucket	Invoice-level repair-versus-improvement review and fixed-asset schedule	2026 work may require capitalization and may include shorter-life bonus-eligible assets
Mortgage / escrow not fully split	Reconcile principal, interest, escrow asset, taxes, insurance, and fees monthly	Only the correct components reach expense and tax returns
Bad Debt Expense for unpaid rent	For cash-method tax books, do not deduct rent never included in income; GAAP accrual treatment is separate	Book-tax basis differences can otherwise create a false deduction
Entertainment expense	Segregate and presumptively treat as nondeductible unless a specific exception is documented	Federal deduction is generally disallowed
Leasehold Improvements for owned real estate	Rename/classify as building improvements or the proper owned asset unless GH is improving leased premises	Asset names should reflect legal ownership and depreciation unit
Target late-fee policy differs from older lease language	Executed lease must govern each tenant; attorney review before automation	An internal policy does not amend a signed lease

8. Minimum evidence by workflow

Workflow	Required evidence before final classification
Rent / fee invoice	Executed lease/addendum, unit, period covered, due date, fee clause, prior invoice status, ACH processing status
Deposit receipt / refund	Deposit terms, tenant ledger, move-in inventory, possession/termination dates, demand/address, inspection evidence, itemized charges, refund proof
Repair / improvement	Vendor invoice, detailed scope, photos if material, building system/unit, related project invoices, ready-for-use date, permit, payment method
Mortgage / escrow	Monthly lender statement, year-end interest statement, escrow analysis, county tax receipt, insurance invoice, principal balance
Vendor / 1099	Form W-9, contract, invoices, total calendar-year payments, payment rails, backup withholding status, Kansas nexus
Owner payment	Business purpose, original receipt, whether reimbursement or contribution, approval, owner account, no duplicate company payment
Mileage / travel	Date, origin/destination, business purpose, miles, attendees where relevant, receipts, separation of commuting/personal use
Year-end	Trial balance, bank/processor/escrow reconciliations, tenant deposit rollforward, asset rollforward, loan balances, 1099 register, filed elections, prior returns

9. Retention schedule - conservative project baseline

Record class	Project baseline	Reason / release condition
Tax returns and filed elections	Permanent	Entity classification, methods, carryovers, and basis history
Purchase, closing, improvement, depreciation, and sale records	Permanent through disposition plus the applicable limitation period	Basis and allowed-or-allowable depreciation can matter years later
Leases, addenda, inventories, deposit ledgers, itemizations	Tenancy plus at least 6 years; longer for unresolved balances	Contract, deposit, litigation, and unclaimed-property support
Unclaimed-property owner records	At least 10 years after property becomes reportable	Kansas statutory retention
Bank, processor, invoices, receipts, mileage, routine tax support	At least 7 years after the return is filed	Conservative coverage beyond the common 3-year federal period and possible 6-year period
Employment records, if activated	At least 4 years federally; apply longer Kansas/benefit requirements	Payroll tax and worker classification
Zoho audit exports and reconciliation packages	At least 7 years; year-end locked exports permanent	Supports electronic record integrity and reconstructed entries

10. Refresh and change-control checklist

Run annually each January, again before filing, and immediately when a trigger occurs.

1. Replace tax-year forms and instructions; verify mileage, depreciation, QBI, estimated-tax, and information-return thresholds.
2. Check new federal public laws, Treasury Decisions, Internal Revenue Bulletins, IRS disaster relief, and final regulations.
3. Check Kansas session-law changes, KDOR notices/forms, Secretary of State fees/dates, personal-property guidance, and unclaimed-property instructions.
4. Check Overland Park Municipal Code Chapter 5.75, master fee schedule, rental inspection guidance, sales/transient guest tax rates, and permit fee schedule.
5. Check Johnson County value notices, appeal deadline, property-tax calendar, and personal-property rendition status.
6. Refresh the signed-lease register, loan covenants, insurance requirements, occupancy/use, and owner/member status.
7. Trigger immediate re-scope for: short-term stays; employees; new member; corporate election; sale/refinance; casualty; second property; major rehabilitation; substantial tenant services; lawsuit; lender GAAP covenant.
8. Archive the superseded PDF package with its checked-through date. Never silently overwrite the historical package used for a prior-year return decision.

11. Core live-source index

Use these portals to refresh the package. Full, topic-level registers appear in Volumes 01-03.

M-01	GH Master Property Profile	Internal fact source	Current
Identifies entity, fourplex, location, manager, operating stack, and approximate rent. Facts must be refreshed when operations change. Project file: GH_Master_Property_Profile.md			
M-02	GH Current Fee Policy	Internal policy	Conditional
Target operating policy only. The file itself warns that signed lease language may differ. Never treat target amounts as legally authorized without lease review. Project file: GH_Current_Fee_Policy.md			
M-03	FASB Standards and Codification access	Private GAAP authority	Current
Live access point for authoritative nongovernmental US GAAP. Full Codification is copyrighted and is not reproduced in this package. https://www.fasb.org/standards			
M-04	Title 26, United States Code	Binding federal statute	Current
Live federal tax code. Use the tax-year version in force for the transaction and return. https://uscode.house.gov/view.xhtml?edition=prelim&path=%2Fprelim%40title26			
M-05	Title 26, Code of Federal Regulations	Binding federal regulation	Current
Live Treasury regulations. This source should be checked whenever an IRS publication simplifies or conflicts with a rule. https://www.ecfr.gov/current/title-26			
M-06	Kansas Revisor of Statutes	Binding state statute	Current
Live Kansas statutes, including landlord-tenant, income tax, property tax, LLC, and unclaimed-property law. https://ksrevisor.gov/statutes/ksa.html			
M-07	Overland Park Municipal Code	Binding municipal code	Current
Live city code, including Chapter 5.75 rental licensing and inspection. https://codes.opkansas.org/municipal-code/			
M-08	Johnson County property information	Official administration	Current
Current local deadlines, tax statements, renditions, and valuation appeal procedures. https://www.jocogov.org/departments/appraiser/property-information			

12. Suggested Project source order

Order	Source	Purpose
1	Volume 00 - Accounting Authority Map and Project Protocol	Retrieval rules, assumptions, matrix, and escalation
2	Volume 01 - Federal Rental Tax and US GAAP Sourcebook	Federal tax, depreciation, reporting, recordkeeping, and GAAP topic map
3	Volume 02 - Kansas Rental Accounting and Tax Law Sourcebook	Kansas landlord, income, sales/use, property, LLC, and unclaimed-property law
4	Volume 03 - Overland Park and Johnson County Compliance Sourcebook	Rental license, fees, property-tax calendar, and local triggers
5	GH Master Property Profile and current verified entity/tax facts	Property-specific facts
6	Executed lease clause library and sanitized current leases	Contract authority for rent, fees, deposits, and utilities
7	Zoho chart of accounts and accounting policies	Implementation layer, subordinate to all authorities above